

Present: JAWAD HASSAN AND MUZAMIL AKHTAR SHABIR, JJ.

HOUSE BUILDING FINANCE COMPANY LIMITED--Appellant

versus

Khawaja JAVAID IQBAL--Respondent

R.F.A. No. 124683 of 2017, decided on 7.10.2021.

Financial Institutions (Recovery of Finances) Ordinance, 2001 (XLVI of 2001)--

----Ss. 9 & 22--Finance facility--Recovery suit was decreed--Statement of accounts--Notice of demand--Payment of total instalments--Determination of dispute--Challenge to--Respondent has made payment of last instalment in month of January, 2012 and total installments have already been paid by respondent to Appellant, outstanding amount comes to Rs. 36,66,668/- as has rightly been observed by Banking Court--No discrepancy was pointed out by Appellant in statement of account; Banking Court was justified on relying upon same for determination of dispute between parties and has rightly decreed suit--Appeal dismissed. [P. 137] A & B

Khawaja Muhammad Ajmal, Advocate for Appellant.

Mr. Abdul Hameed, Advocate for Respondent.

Date of hearing: 7.10.2021.

ORDER

Through this single order, we intend to dispose of the instant appeal as well as the connected petition (Cross Objection No. 152237 of 2018) as both are intermingled with each other.

2. The Appellant has filed the titled appeal under Section 22 of the Financial Institutions (Recovery of Finances) Ordinance, 2001 (the FIO) challenging the judgment and decree dated 23.11.2017 passed by the Judge Banking Court-II, Lahore in a suit filed by the Appellant for recovery of amount Rs. 77,27,210/- along with future monthly instalments, rental/profit, costs and cost of funds, etc. till the realization of entire outstanding balance/dues, which was decreed to the tune of Rs. 36,66,668/- in favour of the plaintiff and against the defendant with costs.

3. The learned counsel for the Appellant states that the impugned judgment has been passed by not properly examining the record and the statement of account filed by the Bank as per Section 9(2) of FIO. On the other hand, the learned counsel for the Respondent supports the impugned judgment dated 23.11.2017.

4. Heard, record perused.

5. The perusal of record reveals that the respondent- defendant applied for financial facility to purchase a constructed house measuring 10-marlas situated in Punjab Co-operative Society Cantt, Lahore and the Appellant-plaintiff agreed to sanction Rs. 50,00,000/- as finance facility vide acceptance letter dated 13.08.2007 for a period of 20-years; as a consequence whereof, the respondent had to repay the rental income of said house along with investment made by the Appellant through monthly instalment of Rs. 54,583/- each. The record further reveals that the Appellant has demanded, in view of the demand notice dated 25.03.2014, an amount of Rs. 19,83,428/- only but the suit was filed claiming an amount of Rs. 77,27,210/- which includes 20-years interest whereas the Appellant in paragraph 8 of the plaint had admitted that an amount of Rs. 30,32,333 out of Rs. 50,00,000/- (the principal amount) had been received back from the respondent and only Rs. 19,67,667/- is due against him.

6. We have also examined the statement of account which reflects the credit and debit entries and payment of certain amount per month according to the terms and conditions agreed between the parties in response to the afore-referred finance facility availed by the respondent and the learned Banking Court has rightly observed in the impugned judgment as under:

"Now coming to the claim of the plaintiff for the recovery of Rs. 77,27,210/- when is seen and assessed with the documents annexed with the plaint particularly statement of accounts and repayment schedule, it transpires that the defendant made payment of last installment in the month of January, 2012, when the defendant paid 52nd installment, at that time the outstanding principal came up to the tune of Rs. 36,66,668/-. Remaining claim of the plaintiff rent debit Rs. 16,64,566/- appreciation debit Rs. 38,75,001/-and GIP/PIP debit Rs. 2,06,575/- is disallowed. Thus, the recoverable amount from the defendant comes to Rs. 36,66,668/-"

7. As an amount of Rs. 30,32,333/- out of principal amount of Rs. 50,00,000/- has been received by the Appellant-plaintiff and only an amount of Rs. 19,67,667/- is due against the respondent-defendant and notice of demand dated 24.03.2014 also required payment' of Rs. 19,83,428/- and also the respondent has made payment of last instalment in the month of

January, 2012 and total 52 installments have already been paid by the respondent to the Appellant, therefore, the outstanding amount comes to Rs. 36,66,668/- as has rightly been observed by the learned Banking Court. In this view of the matter and in our opinion, no discrepancy was pointed out by the Appellant in the statement of account; hence, the Banking Court was justified on relying upon the same for determination of dispute between the parties and has rightly decreed the suit for an amount of Rs. 36,66,668/- with costs. No exception can be taken to the same in the given circumstances of the case.

8. For what has been discussed above, this appeal being devoid of any merit is dismissed.

(Y.A.) Appeal dismissed